

Bankruptcy as (Crisis) Regulation: A Third Axiom

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In anticipation of a wave of bankruptcies caused by the economic and financial effects of the Covid-19 pandemic, numerous commentators have proposed policies or measures to expand the institutional capacity of the bankruptcy system to help address and resolve various aspects of the ongoing economic crisis. At least some of these policies and measures involve direct involvement of government or regulatory actors in the bankruptcy system or indirect involvement through regulated intermediaries. These proposals underscore the regulatory functions of bankruptcy law in general and the deep connections between those functions and other regulatory systems, especially financial regulation. These connections and the influence of other regulators in the bankruptcy system are generally underappreciated in the literature on bankruptcy, and when they are observed, they are generally criticized.

This article argues that the background regulatory functions of bankruptcy should be understood as a fundamental part of the theoretical justification for a robust bankruptcy regime. In particular, bankruptcy is part of the general financial regulatory architecture in a modern economy. This is, as of yet, an undesignated axiom of bankruptcy law. Furthermore, this function of a bankruptcy or insolvency system provides the background context for more specific interventions of government or regulatory actors in a bankruptcy system pursuant to the regulatory goals and authority of those actors. These “interventions” should in fact be viewed as the product of overlapping regulatory functions, which require coordination or a logic of ordering. And in any such account, macro-prudential and systemic concerns will often override the efficiency concerns or stakes of a particular bankruptcy case.

Introduction

It is now widely, perhaps universally, anticipated that the U.S. will see a dramatic upsurge of bankruptcy cases caused by the economic effects of the Covid-19 pandemic. There has been a noticeable increase in large business bankruptcies in recent months, but various factors seem to have held a larger wave of expected bankruptcies at bay. These factors include, most notably, private standstill agreements² and policies at every level of government to

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² Jonathon Lipson & Norman M. Powell, *Don't Just Do Something – Stand There! A Modest Proposal for a Model Standstill/Tolling Agreement*, available at

mandate or strongly encourage forbearance by creditors.³ As such agreements and policies begin to expire, however, firms and households will be faced with accumulated and accumulating debts and much-reduced income. It is hard to imagine anything other than impending unprecedented levels of financial distress among firms, households, and governments, resulting in historically high numbers of bankruptcy filings.

In the U.S., policymakers have adopted some thus-far modest and targeted reforms to the bankruptcy system to accommodate debtors affected by the crisis. In the CARES Act, Congress has increased the scope of eligibility of the Small Business Reorganization Act, for example, so that more small firms can benefit from its liberalized process. The Act also provides that Covid-related support to individuals will not be counted as income⁴ if they file for bankruptcy and that individuals experience hardship due to the crisis can modify or extend their Chapter 13 plans.

Numerous commentators have proposed other, more significant measures to address the anticipated wave of filings and the challenges such a wave would create.⁵ These include proposals to increase bankruptcy court personnel and

<https://businesslawtoday.org/2020/04/dont-just-something-stand-modest-proposal-model-standstilltolling-agreement/>. See also, Anna Gelpern, *et al.*, *Debt Standstills Can Help Vulnerable Governments Manage the COVID-19 Crisis*, available at <https://www.piie.com/blogs/realtime-economic-issues-watch/debt-standstills-can-help-vulnerable-governments-manage-covid>.

³ For example, the CARES Act provided for mortgage payment forbearance for borrowers with federally backed loans and protection from evictions for those renting property subject to such loans.

⁴ Excluding support from “current monthly income” potentially impacts individuals’ eligibility for Chapter 7 and the calculation of disposable income payable to creditors in Chapter 13.

⁵ See, *e.g.*, Peter Conti-Brown & David Skeel, *Using the Federal Reserve’s Discount Window for Debtor-in-Possession Financing During the COVID-19 Bankruptcy Crisis*, available at <https://www.brookings.edu/research/using-the-federal-reserves-discount-window-for-debtor-in-possession-financing-during-the-covid-19-bankruptcy-crisis/>; Adam J. Levitin, *et al.*, *No More Bailouts: A Blueprint for a Standing Emergency Economic Resilience and Stabilization Program*, June 2020, available at <https://greatdemocracyinitiative.org/wp-content/uploads/2020/06/No-More-Bailouts-Final-Copy-.pdf>; Kathryn Judge, *Congress Should Allow the Fed to Make Loans to Bankrupt Companies*, *Forbes*, July 22, 2020, available at <https://www.forbes.com/sites/kathrynjudge/2020/07/22/congress-should-allow-loans-to-bankrupt-companies/#60e5d7e63a7f>; David Skeel, *Bankruptcy and the Coronavirus*, *Economic Studies at Brookings Part I*, April, 2020, available at <https://www.brookings.edu/research/bankruptcy-and-the-coronavirus/> and *Part II*, July 6, 2020, available at <https://www.brookings.edu/research/bankruptcy-and-the-coronavirus-part-ii/>; Kenneth Ayotte & David Skeel, *Bankruptcy Law Needs a Boost for Coronavirus*, *Wall St. J.*, March 30, 2020, available at <https://www.wsj.com/articles/bankruptcy-law-needs-a-boost-for-coronavirus->

resources,⁶ requiring that the government require some firms obtaining financial support file for bankruptcy,⁷ promoting stream-lined pre-packaged filings,⁸ and vastly increasing the amount of resources available for debtor in possession financing through support from the U.S. Treasury or the Federal Reserve.⁹

Such proposed actions and policies would effectively expand the institutional capacity of the bankruptcy system to help address and resolve various aspects of the ongoing economic crisis. But, as with other recent crisis response measures, they should also be understood as potential substitutes or compliments to other regulatory policies, including those regarding employment, health, and, especially, financial stability. As such, they underscore that the bankruptcy system serves regulatory functions; it is a component of broader regulatory architectures and is integrally connected to other components in those regulatory frameworks.

In particular, a bankruptcy system is inevitably an arm and a tool of a broader financial regulatory system. The most direct connection between a bankruptcy system and its broader financial regulatory architecture is the bank creditor. Banks are critical players in all bankruptcy systems since they are creditors in almost every case and dominant creditors in many or most. And because bank activities and practices are heavily regulated, the policies of bank regulators inevitably have some ripple effect on the bankruptcy system. This is true, if unobserved, in peacetime. But the link between bankruptcy and financial regulation often becomes important – critical, even – in times of financial crises. At such times, the regulatory goals and policies in question tend to be macro-prudential, in furtherance of systemic efforts to promote economic and financial stability. Occasionally, and most dramatically, financial regulators take actions or pursue policies that are directed toward the bankruptcy system and that intervene directly thereupon.

Consider, for example, recent proposals to augment DIP financing through Fed or Treasury programs and the proposal to leverage government lending to encourage pre-pack filings. These policies would be driven by bank regulators, would presumably depend upon banks as intermediaries, and thereby significantly augment the channel of influence of financial regulators upon the bankruptcy system. To be clear, most of these proposals either envision or invite the possibility that financial regulators will direct the involvement of

[11585608800](https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3567127); Edward R. Morrison & Andrea Saavedra, *Bankruptcy's Role in Covid 19 Crisis*, available at https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3567127.

⁶ See, e.g., *Letter from The Bankruptcy and Covid-19 working group*, available at http://blogs.harvard.edu/bankruptcyroundtable/files/2020/05/xLarge-Corporate-Committee_05.18.2020.pdf

⁷ Morrison & Saavedra, *supra*.

⁸ Ayotte & Skeel, *supra*.

⁹ Conti-Brown & Skeel, *supra*.

private creditors (banks) in the bankruptcy system in crucial ways at a critical time.

This function and operation of bankruptcy law is, to put it mildly, underappreciated in the bankruptcy literature. When it is discussed or observed, it is controversial and usually criticized. Among scholars of bankruptcy law, especially in the U.S. but elsewhere as well, such direct involvement by government regulators in bankruptcy or insolvency cases has been a recurring topic of concern. At least some scholars have proposed that this type of government involvement in otherwise private decision-making is, at best, inconsistent with basic theories of about bankruptcy or insolvency law and, at worst, likely to undermine the efficient operation of these systems.

Mark Roe and David Skeel raised serious concerns, for example, about the government's role in the Chrysler bankruptcy and, especially, how the government may have influenced the decision of secured creditors in that case to consent to Chrysler's transaction with Fiat. Sarah Woo set out a more systematic cautionary analysis of banking regulators directing banks' behavior in their debtors' bankruptcies during the financial crisis of 2008-09, describing the action with some apparent disfavor as "regulatory bankruptcy."¹⁰ To address a near crisis of non-performing assets in the Indian banking system, the Reserve Bank of India jump-started India's new insolvency and bankruptcy system in 2017 by requiring banks to force their largest defaulting debtors into insolvency. That intervention by the RBI in the insolvency system was subsequently criticized.

This Article excavates an under-appreciated "axiom" that bankruptcy law is a species of financial regulation and that it is an extension of a broader framework of financial regulation. Even when it operates through private decision-making of debtors, creditors and other stakeholders, a bankruptcy or insolvency system is a regulatory tool designed and put in place by policymakers to advance various crucial economic and financial policies. Developing this insight, this Article defends the direct engagement of financial regulators in otherwise private decisions regarding bankruptcy or insolvency proceedings. That engagement sometimes runs counter to the private interests of stakeholders in particular cases, including those intermediaries – i.e., banks – through whom the regulator acts. This is most likely when the regulatory goals being pursued are systemic or macro-prudential.

The Article proceeds as follows. Part I describes three case studies direct regulatory involvement in a bankruptcy or insolvency system. It first examines the episode that formed the core of Woo's study, banking regulators directing banks to reduce their exposure to commercial real estate at the onset of the 2008-09 financial crisis. It then describes the U.S. Treasury Department's involvement in Chrysler's bankruptcy in 2009, especially Treasury's effort to

¹⁰ Sarah P. Woo, *Regulatory Bankruptcy: How Bank Regulation Causes Firesales*, 99 GEO. L.J. 1615 (2011).

encourage secured creditors in the Chrysler case to consent to the sale of assets to a newly created firm and accept a significant haircut.¹¹ Finally, it describes in greater detail the Reserve Bank of India's directive in 2017 as well as the RBI's expansion of this policy and the Supreme Court of India's finding that at least some of the RBI's actions were unconstitutional.

Part II addresses and responds to the concerns and criticism among bankruptcy law scholars about such regulatory intervention in bankruptcy and insolvency cases. Part II.A. relates Woo's careful and persuasive case that such regulatory intervention is inconsistent with prevailing theories and accounts of the proper role and function of a bankruptcy law, the "axioms" of bankruptcy law as described by Douglas Baird. Part II.B. departs from Woo's criticism of regulatory intervention, however, by articulating a third axiom of bankruptcy and insolvency law, i.e., that bankruptcy is itself a species of regulation, a necessary and fundamental component in the constellation of financial regulation. Scholars and policymakers have increasingly come to recognize key role of bankruptcy law in for financial markets in the wake of financial crises since the 1990's and especially since the global financial crisis of the late 2000's. Yet they have not generally described this role as a regulatory function; bankruptcy law has been viewed and described instead as like passive "architecture."

Understanding bankruptcy and insolvency law as part of a more deliberative set of regulatory policies, choices, and actions, reframes the topic in a way that makes the prospect of direct regulatory intervention less exceptional. As Part II.C. argues, such direct intervention is, in some circumstances, an extension of this regulatory function of bankruptcy law, especially when regulators direct parties to initiate a bankruptcy or insolvency process. Such intervention is, in other circumstances, a result of different and overlapping regulatory concerns, most often related to the regulation of financial institutions that are involved in the bankruptcy system as creditors. From a bankruptcy perspective, these interventions may seem like distortions of private ordering. From the perspective of government regulators such as the banking authorities, however, their intervention is well within the scope of their authority to supervise the financial decisions of firms within their jurisdiction. While the bankruptcy system is itself a regulatory regime, it is necessarily coordinated with other regulatory regimes, and the imperatives of other regimes often displace or determine the internal logic of bankruptcy law.

I. Three Episodes

When government actors directly intervene in an insolvency or bankruptcy system, such actions may appear to contravene the underlying aims and logic of insolvency and bankruptcy law, especially to the extent that such aims and

¹¹ Mark J. Roe & David Skeel, *Assessing the Chrysler Bankruptcy*, 108 MICH. L. REV. 727 (2010).

logic are premised on the self-interested decisions of private actors. To illuminate the controversial aspects of such regulatory activity, this Part describes three episodes in which government regulators effectively directed the behavior of private parties in initiating bankruptcy or insolvency proceedings or in taking specific actions in ongoing proceedings.

A. Commercial Real Estate and the Financial Crisis of 2008-09

In the years leading up to the financial crisis of 2008-09, commercial real estate loans, which include loans for construction and development, were a major component of secured lending by U.S. banks.¹² Banking regulators became increasingly concerned that the accumulated concentration of commercial loan in banks' portfolios – and thus across the banking system – posed an increasingly heightened risk,¹³ greater than the isolated risk of failure of these loans when considered individually.¹⁴ The regulators began to impose a series of “specific regulatory measures that shaped the reactions of banks in dealing with their portfolios of loans and thereby their position as secured creditors vis-à-vis debtors. These regulatory measures [included] intensive monitoring, which centered on capital adequacy and another key component: concentration risk.”¹⁵ As Woo relates,

A landmark regulatory measure was promulgated in 2006 in the form of a joint policy statement by all the bank regulators in the United States. This statement provided the criteria for identifying institutions with significant concentrations of commercial real estate loans (including construction and development loans) and stated that such institutions warranted greater supervisory scrutiny. In February 2008, the FDIC's Office of Inspector General released a report concluding that commercial real estate concentrations had ‘reached record levels that could create safety and soundness concerns.’ In

¹² Woo, *supra*, at 1628.

¹³ [citation to come]

¹⁴ “[B]anks seek to minimize risk on a portfolio basis, and that the way a bank chooses to minimize risk is shaped by financial regulation. More specifically, model simulations of various scenarios are used to explain why risk aversion at a portfolio management level can be a greater motivator for banks than value maximization of specific loans.” “[T]he risk in question is the more general risk management problem that a bank, as a whole, faces. Every bank maintains a portfolio of loans and assets whose value and risk profile is not simply the sum of its parts. The assessment of the risk of a loan within a portfolio is different from an assessment of that same loan in isolation, due to portfolio composition effects such as diversification of risk.” Woo, *supra* note, at 1631-32.

¹⁵ Woo, *supra*, at 1629.

response, the FDIC issued a Financial Institutions Letter, ‘Managing Commercial Real Estate Concentrations in a Challenging Environment,’ which strongly recommended that banks with such concentrations ‘increase capital to provide ample protection from unexpected losses if market conditions [were to] deteriorate further.’ This letter was more strongly worded than the 2006 interagency guidance. ... Throughout 2008, banks were subject to extensive on-site supervision to monitor their credit concentrations and establish mechanisms to report internal concentration limits.¹⁶

As the crisis began, the banking sector was still effectively over-exposed to the commercial real estate sector, which “attracted intense regulatory scrutiny”¹⁷ One of Woo’s important contributions to our understanding of this episode is data she reported about the behavior of banks in the bankruptcies of commercial real estate firms during this period. In particular, she studied the instances of banks moving to lift the automatic stay in these bankruptcies, presumably to be able to begin foreclosure proceedings to divest from their exposures to the underlying real estate assets. She found a notable increase in such actions by banks in the period of 2007-09 over the period of 2004-06.¹⁸

Furthermore, she found that this increase was driven by banks’ concern about the risk of concentration of commercial real estate loans in their portfolios rather than individualized assessment of the liquidation value of the underlying real estate assets in each particular case. This concern, she found, was “regulation driven.” As she explained,

a rational secured creditor, when faced with a bankruptcy case, would normally be hard-pressed to choose liquidation of incomplete residential developments and settle for repayment from the low as-is liquidation value. ... The main takeaway is that an exogenous factor clearly influences secured creditors to favor liquidation when reorganization is preferable; this paper identifies financial regulation as a major suspect.¹⁹

Although she did not report evidence that banking regulators had specifically or expressly directed banks to move to lift the automatic stay in their debtors’ bankruptcy, she “provided the first evidence, to the best of the

¹⁶ Woo, *supra*, at 1629.

¹⁷ Woo, *supra*, at 1618.

¹⁸ Woo, *supra*, at 1641.

¹⁹ Woo, *supra*, at 1652-53.

author's knowledge, that the financial regulatory regime affects creditors' behavior in bankruptcy.”²⁰

Unfortunately, it appears that this policy of pushing banks to divest from commercial real estate assets exacerbated the underlying problem posed by their concentration in the banking system. The actions of banks in response to this regulatory pressure – including what Woo termed “bankruptcy contagion”²¹ – further depressed the value of those assets, further eroding bank capital.²² This assessment was quickly made as well by the banking regulators,²³ and they reversed their regulatory policy.²⁴

While Woo criticized the particular policy of U.S. banking regulators in pushing banks to divest from commercial real estate exposure in the mid-2000's, she did not take a clear normative position on of regulatory driven decision-making in bankruptcy. She did, however, emphasize the risks of such activity, especially to the extent that it caused parties to make decisions that were not determined by their own direct economic or financial interests. It was, in her words, a “misguided attempt[] to use regulatory power ..., interfering with investment expectations and diminishing asset values.”²⁵

²⁰ Woo, *supra*, at 1646.

²¹ Woo, *supra*, at 1655 (“[I]n regulatory bankruptcy cases, none of the banks with concentration risk have any incentive to exercise self-restraint in liquidating the relevant debtors in order to avoid the risk of forced liquidation if there is likely to be a run on the market owing to financial regulatory pressure. This process deserves the term bankruptcy contagion because the exogenous factor affecting bankruptcy proceedings--the microprudential regulatory regime--is not an idiosyncratic factor, but rather a systemic factor that affects the banking industry all at once.”).

²² Woo, *supra*, at 1653-54.

²³ Woo, *supra*, at 1653-54 (“The Federal Reserve's Office of Inspector General reached a similar conclusion in the *Material Loss Review of Riverside Bank of the Gulf Coast*, commenting that supervisory guidance provided to the bank to off-load loans in the secondary market, in order to mitigate real estate concentrations in adverse market conditions, turned out to be the wrong strategy.”).

²⁴ Woo, *supra*, at 1656. (“[I]n reaction to bankruptcy contagion, U.S. regulators by the end of 2009 issued a policy statement on commercial real estate loans, making clear that prudent workouts are ‘often in the best interest of the financial institution and the borrower,’ and that loans should not be subject to adverse classification and write-downs ‘solely because the value of the underlying collateral has declined to an amount that is less than the loan balance.’”).

²⁵ Woo, *supra*, at 4.

B. The Chrysler Bankruptcy

In April of 2009, Chrysler LLC and its subsidiaries, which together comprised one of the world's largest manufacturers and distributors of automobiles, filed for bankruptcy in the Southern District of New York.²⁶ At that time, the company had over 55,000 salaried employees in the U.S. and abroad.²⁷ In 2008, it had a net operating loss of nearly \$17 billion.²⁸ By that time, the company had been struggling to maintain its position in the automotive industry for many years and had been facing acute financial challenges for many months. It had merged with Daimler-Benz, the German auto firm, in 1998, and in May 2007 that firm sold an 80% stake to Cerberus Capital Management, a U.S. private equity firm. Around that time, the firm initiated an effort to restructure its operations and, especially, to develop a strategic partnership with another auto firm to manufacture more energy efficient vehicles.²⁹ Although the firm approached numerous possible partners, it was unable to reach agreement on such a partnership.³⁰ This effort took on greater urgency in 2008, first because of a spike in gas prices that summer,³¹ and then as the global financial crisis of 2008-09 began to affect the real economy and especially the availability of credit to the company and to consumers.³²

In late 2008, Chrysler borrowed \$4 billion from the U.S. Treasury, pursuant to Treasury's Troubled Asset Repurchase Program (TARP).³³ Significantly, the terms of the loan required Chrysler to develop and submit to Treasury a plan "showing that it was able to achieve and sustain long-term viability, energy efficiency, rationalization of costs and competitiveness in the U.S. marketplace . . . , which would indicate Chrysler's ability to repay the TARP Financing."³⁴ In January of 2009, Chrysler reached an agreement for a "strategic alliance" with Fiat, in which Fiat would acquire a 35% stake in Chrysler,³⁵ and the following month Chrysler submitted to Treasury its viability plan proposing the arrangement with Fiat.³⁶ President Barack Obama created a

²⁶ *In re Chrysler, LLC, et al.*, 405 B.R. 84 (S.D.N.Y. 2009).

²⁷ *Id.* at 88.

²⁸ *Id.* at 89.

²⁹ *Id.* at 90.

³⁰ *Id.*

³¹ <http://www.nbcnews.com/id/24896359/ns/business-autos/t/gas-prices-put-detroit-big-three-crisis-mode/>

³² *In re Chrysler, LLC, et al.*, 405 B.R. at 90.

³³ *In re Chrysler, LLC, et al.*, 405 B.R. at 89-90.

³⁴ *In re Chrysler, LLC, et al.*, 405 B.R. at 90.

³⁵ *In re Chrysler, LLC, et al.*, 405 B.R. at 90.

³⁶ *In re Chrysler, LLC, et al.*, 405 B.R. at 91.

task force to evaluate Chrysler's viability plan and, subsequently, to help negotiate the terms of the Chrysler-Fiat alliance and the process for establishing it.³⁷ This process involved, among other things, reaching settlements with its current and retired employees; obtaining consent from Chrysler's senior secured creditors; creating a third company (commonly known as New Chrysler), which acquired almost all of Chrysler's assets and a portion of its liabilities; and transferring \$2 billion to (old) Chrysler, which would be used to pay its senior secured creditors approximately 29% of their claims.³⁸ Fiat would acquire a 20% stake in the new Chrysler, with the right to obtain up to 31%; the company's retirees' association would have a 55% stake; and the governments of the U.S. and Canada would have 8% and 2% stakes, respectively.³⁹

Together, the task force, Chrysler, and Fiat decided that the transaction would be conducted pursuant to a bankruptcy filing by Chrysler, presumably a condition of the U.S. Treasury's willingness to fund the transaction and the restructuring.⁴⁰ Chrysler filed for bankruptcy on April 30, 2009 and, that day, Chrysler, Fiat and New Chrysler formally entered into their agreement for the sale of Chrysler to New Chrysler.⁴¹ The next day, Chrysler filed a motion in bankruptcy court to schedule a hearing on the transaction. Three of the holders of Chrysler's senior secured claims, accounting for \$42 million of the \$6.9 billion in claims, objected to the sale.⁴²

The sale of all of Chrysler's assets to New Chrysler was proposed pursuant to section 363 of the U.S. Bankruptcy Code,⁴³ which provides that a debtor or trustee "after notice and a hearing, may use, sell, or lease, other than in the ordinary course of business, property of the estate"⁴⁴ Generally, as in the Chrysler case, sales of assets pursuant to section 363 are proposed at the very early stages of a bankruptcy case, well before a reorganization plan has been negotiated or proposed. Courts routinely authorize the sale of assets of the bankruptcy estate out of the ordinary course of business under such circumstances, but generally the assets in question are discrete items or portions

³⁷ *In re Chrysler, LLC, et al.*, 405 B.R. at 91.

³⁸ *In re Chrysler, LLC, et al.*, 405 B.R. at 92.

³⁹ *In re Chrysler, LLC, et al.*, 405 B.R. at 92.

⁴⁰ *See Roe & Skeel, supra*, at 760 (suggesting that the U.S. Treasury determined that Chrysler would be rescued through a bankruptcy process).

⁴¹ *In re Chrysler, LLC, et al.*, 405 B.R. at 92-93.

⁴² *In re Chrysler, LLC, et al.*, 405 B.R. at 93.

⁴³ *See Roe & Skeel, supra*.

⁴⁴ 11 U.S.C. § 363(b). A debtor or trustee is furthermore authorized to "use, sell, or lease ... property of the estate in the ordinary course of business without notice or a hearing." 11 U.S.C. § 363(c).

of the estate.⁴⁵ Those assets are sold, the proceeds from the sale become part of the estate, and those proceeds are distributed to creditors pursuant to the reorganization plan in Chapter 11 or liquidation in Chapter 7.

Sometimes, however, corporate debtors seek to sell essentially the entire firm pursuant to section 363, and the estate is then comprised primarily or exclusively of the proceeds of the sale. And in such cases, the newly acquired firm voluntarily adopts some portion of the obligations of the debtor in bankruptcy, leaving other creditors to claim only whatever they may recover in the debtor's bankruptcy proceedings.⁴⁶ Recognizing that such transactions are occasionally efficient, courts generally require a sound business justification for the sale, notice to affected parties, a fair price, and a good faith sale procedure.⁴⁷ As Mark Roe and David Skeel have explained, courts generally require "safeguards [that] can reconcile a §363 sale with core protections of [Chapter 11]: judicial valuation, creditor consent, and a contested auction."⁴⁸

In Chrysler's proposed sale of all of its assets to New Chrysler, the bankruptcy court judge found,⁴⁹ and the U.S. Second Circuit Court of Appeals affirmed,⁵⁰ that these conditions were met. While the bankruptcy court did not expressly consider whether affected creditors consented to the transaction, it did find such consent in deciding that Chrysler could sell its assets free and clear of liens and other interests pursuant to section 363(f).⁵¹ In particular, the bankruptcy court found that the parties to Chrysler's First Lien Credit Agreement (including the creditors who objected to the section 363(b) sale) had consented to the sale because the administrative agent of the creditors under

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⁴⁶ Such an arrangement can enable the parties to benefit from the debtor's power under the Bankruptcy Code to sell assets free and clear of liens or other claims and then effectively reorganize the debtor's firm outside of the process otherwise required under Chapter 11.

⁴⁷ See Roe & Skeel, *supra*, 739 (quoting Scott D. Cousins, *Chapter 11 Asset Sales*, 27 DEL. J. CORP. L. 835, 839-40 (2002)). The Second Circuit U.S. Court of Appeals has articulated various factors to assess in determining whether there is a sound business justification for a § 363(b) sale. These include: "the proportionate value of the asset to the estate as a whole[;] the amount of elapsed time since the filing[;] the likelihood that a plan of reorganization will be proposed and confirmed in the near future[;] ... and ... whether the asset is increasing or decreasing in value." *In re Chrysler, LLC, et al.*, 405 B.R. at 95 (quoting *Comm. of Equity Sec. Holders v. Lionel Corp. (In re Lionel Corp.)*, 722 F.2d 1063, 1071 (2d Cir. 1983)).

⁴⁸ See Roe & Skeel, *supra*, 739.

⁴⁹ *In re Chrysler, LLC, et al.*, 405 B.R. at 94 *et seq.*

⁵⁰ *In re Chrysler LLC*, 576 F.3d 108 (2d Cir. 2009).

⁵¹ *In re Chrysler, LLC, et al.*, 405 B.R. at 100-04.

agreement consented to the Chrysler's transaction with Fiat, and creditors holding over 90% of the principal loan amount outstanding under the agreement voted to approve the administrative agent's decision.⁵² The First Lien Credit Agreement had a senior secured claim, secured by all of Chrysler's assets; as a practical matter, they were the only creditors who had a claim on the proceeds of the sale of the firm.

The creditors objecting to Chrysler's sale to New Chrysler – themselves First Lien claimants – questioned the legitimacy of the vote by the First Lien claimants,⁵³ and various commentators have criticized the court's finding that they consented to the sale.⁵⁴ Among the consenting creditors were some of the country's largest banks who together held over 70% of the loan amount outstanding under the agreement. These banks were all recipients of investments by the U.S. Treasury pursuant to TARP;⁵⁵ in other words, they owed significant obligations to the major proponent of Chrysler's proposed sale and the firm's largest single creditor – the U.S. Treasury – under terms that gave Treasury significant potential direct power over these banks.⁵⁶

According to Roe and Skeel, these creditors were therefore “beholden to the U.S. Treasury” and their votes to consent to Chrysler's sale to New Chrysler were “tainted” such that they would be designated as a bad-faith vote in a formal Chapter 11 proceeding.⁵⁷ As they write:

There's another, more severe, way to look at the big banks' votes. One or more of these banks could plausibly be viewed as controlled by the U.S. Treasury at the time. ... If the Treasury was a controlling person of one or more the major banks, how should we look at the banks' consent? We'd then have to see Chrysler's major bankruptcy lender as controlling the votes of Chrysler's major prebankruptcy creditors, on a plan the lender itself designed. Normally this conflict is reason for serious concern⁵⁸

The bankruptcy court had briefly addressed this argument by the objecting creditors and dismissed it as “without any evidentiary support” and “mere

⁵² *In re Chrysler, LLC, et al.*, 405 B.R. at 102.

⁵³ *In re Chrysler, LLC, et al.*, 405 B.R. at 103.

⁵⁴ See Roe & Skeel, *supra*, at 743.

⁵⁵ See Roe & Skeel, *supra*, at 743.

⁵⁶ See Roe & Skeel, *supra*, at 743.

⁵⁷ See Roe & Skeel, *supra*, at 743. See also Neil King, Jr. & Jeffrey McCracken, *USA Inc.: U.S. Forced Chrysler's Creditors To Blink*, WALL ST. J., May 11, 2009, at A1

⁵⁸ See Roe & Skeel, *supra*, at 743-44.

speculation and without merit.”⁵⁹ Roe and Skeel criticize this as a “weak, possibly naive standard.”⁶⁰

C. RBI

In May of 2016, India adopted a new comprehensive Insolvency and Bankruptcy Code.⁶¹ The Code’s provisions for business debtors, which were notified that August,⁶² created a new regime for corporate reorganizations and liquidations, replacing a number of pre-existing laws. Very briefly put, the regime is structured as a gateway insolvency chapter with a liquidation chapter backstop. Cases can be initiated by creditors or debtors, but the design of the Code effectively ensures that creditors will generally do so. Firms that enter the system are essentially taken over by an insolvency professional and a committee of “financial” creditors have a few months – 180 days, which can be extended to 270 – to specify and approve a plan of reorganization, generally a sale of the firm as a going concern pursuant to an auction. If they fail to do so within the allotted time, the firm is to be liquidated pursuant to the Code. Thus, as designed, the Code provides that a firm will generally enter the insolvency and bankruptcy system if at least one creditor decides to trigger the process, and the firm’s fate will be determined by a subset of its creditors, subject to the substantive rules of the Code, with relatively limited interference by an adjudicating authority. To implement this new regime, the Code created a number of new major institutional entities and actors, the most important of which is the Insolvency and Bankruptcy Board of India. The Board is responsible for adopting rules and regulations to implement numerous aspects of the new regime and for supervising and regulating other components of the new regime.⁶³

⁵⁹ *In re Chrysler, LLC, et al.*, 405 B.R. at 104.

⁶⁰ See Roe & Skeel, *supra*, at 745-46 (observing that under state corporate law, courts have found directors conflicted based on ties between their employer and the company on whose board they sit).

⁶¹ The Insolvency and Bankruptcy Code, INDIA CODE (2016) [hereinafter, IBC]

⁶² As with other legislative acts, the Code provides that, “It shall come into force on such date as the Central Government may, by notification in the Official Gazette, appoint” IBC, § 1.3. The Official Gazette, published by the Government of India Press, is generally used by the government to publish official notices. See The Gazette of India, <http://egazette.nic.in/>.

⁶³ IBC, §§ 188-198. Among other things is charged with regulating and supervising newly created insolvency professionals and issuing rules and regulations related to these professionals and that implement numerous other substantive aspects of the Code. IBC, § 196, 240. The Board is also responsible for gathering and disseminating data related to the new insolvency and bankruptcy system. IBC, § 196. The powers of the Board are “subject to the general direction of the central government.” IBC, § 196.

The Code was drafted and enacted in a surprisingly short period of time for such a consequential and comprehensive legal regime. The drafters of the Code and policymakers who enacted it had two primary motivations for adopting the new Code, both of which drove many of the important design choices that helped shape the Code. The first of these goals was somewhat conventional, i.e., that the new insolvency and bankruptcy system would increase, clarify, or accelerate lenders' returns from their debtors who experience financial troubles.⁶⁴ Policymakers hoped that if the new system could succeed in this regard, it would promote the development of credit markets, especially the domestic corporate bond market. They also hoped that the new regime would help attract foreign investors, by improving and clarifying the legal environment for firms or projects they might invest in as well as their ability to recover capital if those firms or projects fail.

Policymakers' second, and perhaps more acute, motivation for enacting the Code was to address a specific and intractable problem of nonperforming assets that had accumulated and persisted in the country's banking system.⁶⁵ At that time, non-performing assets had reached the level of nearly 5% of bank assets in the country.⁶⁶ In particular, policymakers hoped that the Code would enable the long-needed resolution or rehabilitation of the firms that owed banks these non-performing loans and thus clear these assets from the banks' balance sheets, improving the capital position of the entire system.⁶⁷ As a result of these related goals, the regime for corporate debtors was expressly designed to improve the speed and predictability of allocating losses from commercial ventures, either through expeditious restructuring of debts or liquidation.

In June of 2017, less than a year after the Code went into effect, the Reserve Bank of India directed banks under its supervision to force firms owing the largest non-performing loans into India's new corporate insolvency and bankruptcy system.⁶⁸ Specifically, an internal advisory committee of the RBI

⁶⁴ See Adam Feibelman, *Legal Shock or False Start: The Future of India's New Consumer Insolvency and Bankruptcy Regime*, forthcoming, Am. Bankr. L.J., at Part II.A.1, available at https://papers.ssrn.com/sol3/papers.cfm?abstract_id=3092042.

⁶⁵ See *id.*

⁶⁶ See Vastal Khullar, *The Rise of Non-Performing Assets in India*, THE PRS BLOG (May 11, 2016),

<http://www.prsindia.org/theprsblog/rise-non-performing-assets-india>.

⁶⁷ See, e.g., *Resolve 55 Accounts In Six Months Under Bankruptcy Code: RBI to Banks*, THE ECON. TIMES (June 22, 2017),

<http://economictimes.indiatimes.com/industry/banking/finance/banking/resolve-55-accounts-in-six-months-under-bankruptcy-code-rbi-to-banks/articleshow/59271821.cms>.

⁶⁸ See Reserve Bank of India, Press Release, *RBI identifies Accounts for Reference by Banks under the Insolvency and Bankruptcy Code (IBC)*, June 13, 2017, available at

recommended that banks should refer to the new IBC all debtors who owed more than 5,000 rupees crore (50 billion rupees, or \$720 million) if more than 60% of their debt was non-performing.⁶⁹ At the time, this criteria applied to 12 accounts owed to Indian banks that represented roughly 25% of the gross non-performing assets in the country's banking system. Most of the firms representing those 12 accounts were in the steel, metals, and construction industries, and all had been through at least one unsuccessful restructuring effort.⁷⁰ None of them were yet in the newly created insolvency or bankruptcy system. As the Governor of the RBI stated at the time,

[t]he size and nature of the NPA problem necessitated concomitant measures to signal intent and commitment of the Government and the Reserve Bank to meet the challenge squarely. The IBC was in place but the required action in respect of the large stressed accounts was not forthcoming on the part of banks Part of the inertia may have to do with the initial days of the IBC; but part of it was also the typical (and severe) agency and moral hazard problems of not resolving NPAs when the banking sector is majorly government-owned.⁷¹

Soon thereafter, in July and August 2017, the relevant banks initiated insolvency cases for the firms representing 11 of these accounts; the twelfth was initiated in May 2018.⁷² At that point, India's new insolvency and bankruptcy system was still very much in the initial phase of implementation. These large cases proved to be – and continue to be – important and challenging tests for the new regime, providing numerous occasions for institution building and refinement as well as some substantive legal reforms.⁷³ These cases quickly became the focus of significant public attention, causing the new insolvency and bankruptcy to become and remain a very salient topic of public interest and concern. These cases also became important tests of the operation of the new system and the occasion for a good deal of policymaking, adjustment, and

<https://rbidocs.rbi.org.in/rdocs/PressRelease/PDFs/PR3363482A1FF9229F4B9A92EA0090D5D71518.PDF>. See also Khullar, *supra*; Felman et al.

⁶⁹ Reserve Bank of India, *RBI identifies Accounts for Reference by Banks under the Insolvency and Bankruptcy Code (IBC)*, *supra*.

⁷⁰ Felman et al.

⁷¹ RBI Governor's speech, August 19, 2017.

⁷² Felman et al.

⁷³ See, e.g., Ajay Shah & Susan Thomas, *The Indian Bankruptcy Reform: The State of the Art*, The Leap Blog, Dec. 22, 2018, available at <https://blog.theleapjournal.org/2018/12/the-indian-bankruptcy-reform-state-of.html>. See also, Ajay Shah, *Sequencing issues in building jurisprudence: the problems of large bankruptcy cases*, The Leap Blog, July 7, 2018, available at <https://blog.theleapjournal.org/2018/07/sequencing-issues-in-building.html>.

reform.⁷⁴ By August of 2018 – well beyond the 180/270 day time frame set forth under the Code, after which firms should be transferred to the liquidation process – resolution plans had been approved by the NCLT for four of the initial twelve, and the other cases were ongoing.

Meanwhile, in February of 2018, the RBI published a circular expanding its policy of requiring banks to initiate cases against firms that owe non-performing loans. Among other things, the RBI announced at that time that banks must report loans to the RBI and initiate a resolution plan for them immediately upon default, and they must initiate insolvency proceedings against firms with loans over 2,000 rupees crore (20 billion rupees, roughly \$288 million) within 180 days after a default if a resolution plan has not otherwise been implemented.⁷⁵

Notably, in April of 2019, in the case of *Dharani Sugars and Chemicals v. Union of India*,⁷⁶ the Supreme Court of India found the RBI's policy announced in the February 2018 circular to be unconstitutional. In brief, the RBI had issued the relevant part of the circular pursuant to sections 35A and 35AA of the Banking Regulation Act of 1949. Section 35A, part of the original Act sets forth broad powers of the RBI over the banks it regulates; in dicta, the Supreme Court of India has noted that, by itself, that section could have authorized the RBI to direct banks to initiate insolvency cases against their borrowers.⁷⁷ But sections 35AA were added to the Act by the Central Government pursuant to an ordinance amending the Act on May 4, 2017, after the IBC was enacted. Section 35AA provides that Central Government may “authorise the RBI to issue directions to any banking company or banking companies when it comes to initiating the insolvency resolution process under the provisions of the

⁷⁴ See Shah, *supra*; Shah & Thomas, *supra*.

⁷⁵ RBI, Circular, *Resolution of Stressed Assets – Revised Framework*, at 4-5, Feb. 12, 2018, available at <https://rbidocs.rbi.org.in/rdocs/Notification/PDFs/131DBRCEC9D8FEED1C467C9FC15C74D01745A7.PDF>.

⁷⁶ [https://ibbi.gov.in/webadmin/pdf/order/2019/Apr/2nd%20Apr%202019%20in%20the%20matter%20of%20Dharani%20Sugars%20and%20Chemicals%20Ltd.%20Vs.%20Union%20of%20India%20&%20Ors.%20Transferred%20Case%20\(Civil\)%20No.%2066%20of%202018%20In%20Transfer%20Petition%20\(Civil\)%20No.%201399%20of%202018_2019-04-02%2016:39:21.pdf](https://ibbi.gov.in/webadmin/pdf/order/2019/Apr/2nd%20Apr%202019%20in%20the%20matter%20of%20Dharani%20Sugars%20and%20Chemicals%20Ltd.%20Vs.%20Union%20of%20India%20&%20Ors.%20Transferred%20Case%20(Civil)%20No.%2066%20of%202018%20In%20Transfer%20Petition%20(Civil)%20No.%201399%20of%202018_2019-04-02%2016:39:21.pdf)

⁷⁷ *Dharani*, *supra*, at 52-55. “A cursory reading of Section 35A makes it clear that there is nothing in the aforesaid provision which would indicate that the power of the RBI to give directions, when it comes to the Insolvency Code, cannot be so given.” *Id.* at 52.

Insolvency Code.”⁷⁸ On May 5, 2017, the Ministry of Finance formally gave the RBI this authority.⁷⁹

In *Dharani*, the Court held, first, that sections 35AA itself is constitutional.⁸⁰ But it found that the RBI’s circular of February 2018 was not constitutional and, as a consequence, “all actions taken under the said circular, including actions by which the Insolvency Code has been triggered must fall along with the said circular.”⁸¹ The Court found that section 35AA required that the RBI receive authorization from the Central Government to force banks to initiate IBC proceedings against their debtors⁸² and that it only authorized the RBI to do so with respect to specific defaults related to specific borrowers that might be forced into insolvency proceedings.⁸³

To summarize, the India’s Central Government has the power to direct banks to initiate insolvency proceedings against their borrowers, and it has extended that power to RBI, but only in specific cases, not as a general policy. It arguably remains an open question whether the RBI’s directive to banks in 2017 to initiate proceedings against the firms holding the 12 largest non-performing accounts would pass muster as specific directives or whether those early directives might also be subject to the same fate as the RBI’s February 2018 circular.⁸⁴ Furthermore, on June 7, RBI issued a new circular to replace the February 2018 circular. The new circular announces policies that increase provisioning requirements for loans that remain in default, require banks to

⁷⁸ *Dharani*, *supra*, at 60.

⁷⁹ India, Ministry of Finance, Order, 2017S.O. 1435(E), at 30, May 5, 2015, “In exercise of the powers conferred by Section 35AA of the Banking Regulation Act, 1949 (10 of 1949), the Central Government hereby authorises the Reserve Bank of India to issue such directions to any banking company or banking companies which may be considered necessary to initiate insolvency resolution process in respect of a default, under the provisions of the Insolvency and Bankruptcy Code, 2016.”

⁸⁰ *Dharani*, *supra*, at 37.

⁸¹ *Dharani*, *supra*, at 84.

⁸² *Dharani*, *supra*, at 64-65. [Notably, the Court found that Banking Regulation Act also authorizes the Central Government to do this on its own. *Id.*]

⁸³ *Dharani*, *supra*, at 66 (“[I]t is clear that the RBI can only direct banking institutions to move under the Insolvency Code if two conditions precedent are specified, namely, (i) that there is a Central Government authorisation to do so; and (ii) that it should be in respect of specific defaults. The Section, therefore, by necessary implication, prohibits this power from being exercised in any manner other than the manner set out in Section 35AA.”). See also Live Law, *Authorization From Central Govt Necessary For RBI To Direct Insolvency Process Against Stressed Assets: SC*, April 2, 2019, available at <https://www.livelaw.in/top-stories/authorization-central-govt-necessary-rbi-to-insolvency-process-against-stressed-assets-144019>.

⁸⁴ <https://www.thehindubusinessline.com/opinion/the-road-ahead-for-ibc-post-sc-judgment/article26995077.ece>

resolve non-performing loans over 2000 rupees crore within 180 days, and give banks the discretion to initiate insolvency or bankruptcy cases against their debtors “within 30 days of a default.”⁸⁵ While this policy does not require banks to initiate insolvency proceedings, it is clearly designed to create regulatory pressure to do so and to thereby steer banks in that direction, similar to the “regulatory bankruptcies” that Woo observed in the U.S. in during the previous financial crisis.

The particular policy of the RBI’s February 2018 circular was specifically criticized in the litigation leading to the *Dharani* opinion. For example, the debtor argued that setting a relatively rigid policy for all accounts meeting the criteria was over-inclusive, and did not allow for unique circumstances in particular cases that might make an insolvency case inadvisable.⁸⁶ Bhargavi Zaveri has provided one of the few direct assessments of the Central Government’s ordinance amending the Banking Regulation Act and adding Section 35AA. Specifically, she has questioned whether the use of an ordinance rather than parliamentary law-making was warranted and has argued that the amendment has the effect of “enhancing the powers of the Central government vis-a-vis the banking regulator.”⁸⁷ Furthermore, in criticizing the ordinance and the particular policy imposed by RBI’s February 2018 circular, Zaveri writes “[s]ince liberalization, the overarching regulatory philosophy has been to reduce state intervention in commerce. The ordinance is a backward step in this arduous journey.”⁸⁸

Yet it is not clear whether Zaveri’s criticism extends to the RBI’s general power to require banks to initiate insolvency proceedings for specific firms or the decision to direct insolvency proceedings of the initial 12 firms representing the largest NPA’s. And there has been very little other public discussion in India of the merits of the general authority given to the Central Government and, by delegation, to the RBI, to interfere in creditors’ decisions about whether to initiate insolvency proceedings for their debtors. The RBI’s actions have been criticized as a misstep on the road to building capacity for the new insolvency and bankruptcy system,⁸⁹ but most observers and commentators appear to approve of underlying policy of allowing the RBI to force or steer banks to resolve their large non-performing loans through the insolvency and bankruptcy system.

⁸⁵ <https://economictimes.indiatimes.com/news/economy/policy/rbi-issues-revised-circular-on-resolution-of-stressed-loans/articleshow/69691738.cms>

⁸⁶ <https://www.businesstoday.in/current/economy-politics/what-is-the-rbis-february-12-circular/story/333340.html>

⁸⁷ Zaveri, *supra*.

⁸⁸ Zaveri, *supra*.

⁸⁹ Shah, *supra*.

II. Regulation and Bankruptcy Theory

Sarah Woo argued that recognizing bank creditors' regulatory-driven behavior in bankruptcy as a general phenomenon should cause a "tectonic shift" in existing bankruptcy theory.⁹⁰ Twenty years ago, Douglas Baird proposed that scholarship on bankruptcy policy was dominated by two competing "axioms," one he characterized as proceduralist and the other as traditionalist. In his view, proceduralists assume that bankruptcy should generally not disturb the substantive rights of debtors and creditors and should instead solve a collective action problem among creditors, thereby maximizing their collective recovery from debtors. Traditionalists, in contrast, aim to balance a much wider range of interests in the bankruptcy system, especially workers and broader communities, in determining the fate of debtor firms. Although his characterization of these axioms proved controversial, this terminology has endured, and his general analysis did capture something about the orientation of debates over bankruptcy law and policy as well as prevailing concerns of bankruptcy scholarship.

With a few notable exceptions, contemporary scholarship and commentary on bankruptcy law examines the operation of the bankruptcy system with regard to its most direct stakeholders – debtors, their creditors, and stakeholders like children, former spouses, employees, and taxing authorities. This literature primarily analyzes the rules and processes that do or should apply within the system; the impact of those rules and processes on debtors and their creditors and those stakeholders; and how the system affects those parties' incentives and orders their behavior.⁹¹ Participants in these normative debates generally share the assumption that the system operates according to the rules and procedures designed by Congress and the Courts, through the actions of bankruptcy judges and trustees, and by private parties' ordering of their affairs in relation to the design and operation of that system. As Woo observed, existing debates over bankruptcy law fall within a "standard paradigm of bankruptcy theory" according to which the behavior of stakeholders can be "explained simply by understanding the economics of the case itself," and that it is the *stakeholders'* understanding of their economic interests that drive their behavior.⁹² The existing literature on bankruptcy theory, she argued, does not have the conceptual tools to incorporate the influence of exogenous regulation let alone

⁹⁰ Woo, *supra*, at 1661.

⁹¹ Baird's axioms generally reflect the two main normative concerns within the literature. First, that the rules maximize creditors returns and facilitate efficient reallocation of resources to make credit more accessible and less expensive. And second, that the system reduces the overall social costs of financial distress by insuring debtors against the risk of financial distress and by weighing the interests of stakeholders who deal with debtor firms – like employees, taxing authorities, and suppliers – who cannot easily adjust to bankruptcy outcomes.

⁹² Woo, *supra*, at 1661.

the direct involvement in otherwise private bankruptcy proceedings by regulators a tool for some other regulatory policy.

Without attempting to assess the wisdom of the precise policies advanced in the episodes described above, this Part builds a conceptual framework for understanding regulatory influence and regulators' involvement in an otherwise seemingly private bankruptcy or insolvency system. The foundation of this account is set forth, in Part II.A., as a third axiom of bankruptcy law, i.e., that bankruptcy or insolvency law is itself a type of financial regulation, an essential part of the financial market architecture in a modern economy. Building from this basic perspective on bankruptcy law, the concept of "regulation driven" bankruptcy decision-making makes much more sense. As Part II.B. elaborates, sometimes the tool of bankruptcy or insolvency is justifiably employed by the government in pursuit of policies that may seem disconnected to bankruptcy-specific ones. Such episodes reflect points of interaction and tension between two or more regulatory regimes; and often, the seemingly "exogenous" regulatory impetus overrides the bankruptcy case-specific concerns, especially when the topic of regulatory concern is systemic or macro-prudential.

A. The Third Axiom: Bankruptcy as Regulatory Architecture

As noted above, the scholarly literature on bankruptcy law has largely focused on the impact – both *ex ante* and *ex post* – that bankruptcy or insolvency law has on the interests and incentives of stakeholders in particular cases. The unique role of a bankruptcy or insolvency system is to provide a collective remedy for creditors of a common debtor who cannot repay all of their or its obligations. Ideally, a bankruptcy system provides a relatively efficient process for determining whether to liquidate or reorganize a corporate debtor and for facilitating the liquidation or reorganization. For individual debtors, it provides a process for determining how much, if anything, the debtor can and should repay to its various creditors, perhaps over a period of time, and then enforces that allocation. Accordingly, major themes in the scholarly literature on bankruptcy and insolvency have included whether the system adequately protects secured creditors; whether it maximizes the overall returns to creditors from their defaulting debtors; whether the system effectively insures debtors against the risk of financial distress; and whether it adequately weighs the interests and potential consequences for stakeholders like employees and suppliers of firms that might be liquidated or reorganized.

But any bankruptcy or insolvency system – like any legal regime – also serves deeper, macro-economic functions, which ultimately motivate policymakers to put such regimes in place. They are, in this sense, regulatory regimes. In most circumstances, the macro-relevancy of bankruptcy law operates in the deep background, supporting markets for debt by giving confidence to creditors *ex ante*, insuring borrowers against from the risk of financial distress, and allocating losses that must be realized. While the particular design of bankruptcy laws might nudge or steer private parties'

transactions ex ante or strategies ex post, or might carve out priorities for certain stakeholders, they are largely consistent or neutral with regard to private interests. Thus, bankruptcy's regulatory function is largely consistent with procedural or traditional views of bankruptcy theory.

This regulatory aspect of bankruptcy or insolvency law is not absent from the literature and often forms the basis of normative views about the proper design and operation of a regime. Thus, for example, scholars have argued or acknowledged that protecting secured creditors promotes efficient allocation of assets in the economy; that maximizing returns for creditors promotes economic growth by reducing the cost of credit; and that insuring individuals from financial distress and protecting other stakeholders can reduce broader social costs and externalities of financial distress.

While there is a small but growing literature that has addressed the macro-economic function of bankruptcy directly,⁹³ these broader effects of the operation of bankruptcy law tend to be in the background of the literature on the topic and are often discussed in passing if at all. Whether it treats the macro-economics effects of bankruptcy law as a background normative baseline or as a direct topic of assessment, however, scholarship on the design of bankruptcy law generally views those macro-economic effects as deriving from the substantive outcomes for stakeholders, i.e., the accumulation of micro-economic wealth-enhancing or -reducing effects of bankruptcy for debtors, creditors, and other stakeholders.

In the wake of recent international financial crises, however, policymakers and scholars have grown increasingly interested in the systemic functions of bankruptcy and insolvency law as a utility-type component of financial markets, a part of the legal and regulatory architecture of financial markets.⁹⁴ This understanding of the role and function of bankruptcy law first began to coherently emerge in the wake of the collapse of the Soviet Union as various countries around the world began transitioning to market-based economies. As Halliday & Carruthers observe, "starting at the end of the 1980s, and throughout

⁹³ See, e.g., Zachary Liskow, *Counter-Cyclical Bankruptcy Law: An Efficiency Argument for Employment-Preserving Bankruptcy Rules*, 116 COLUM. L. REV. 1461 (2016). See also Yair Listokin, *A Theoretical Framework for Law and Macroeconomics*, 21 AM. L. & ECON. REV. 46 (2019) (noting that consumer bankruptcy can have an impact on consumption); John Armour & Douglas Cumming, *Bankruptcy Law and Entrepreneurship*, 10 AM. L. & ECON. REV. 303 (2008); HALLIDAY & CARRUTHERS, *supra* note 2, at xxii; Adam Feibelman, *Consumer Bankruptcy as Development Policy*, 39 SETON HALL L. REV. 63 (2009).

⁹⁴ See, e.g., TERENCE C. HALLIDAY & BRUCE G. CARRUTHERS, *BANKRUPT: GLOBAL LAWMAKING AND SYSTEMIC FINANCIAL CRISIS*, xv (2009). In this regard, bankruptcy and insolvency regimes may be properly understood as part of the legal structure of financial markets. See Katharina Pistor, *A Legal Theory of Finance*, 41 J. Comp. Econ. 315 (2013).

the 1990s, bankruptcy law became a topic of concern to major international financial institutions, global lawmaking bodies, and international professional associations.”⁹⁵ These institutions and actors “shared a belief that bankruptcy law, appropriately enacted and implemented, played an important role in supporting a market economy”⁹⁶ and formed a community of interests mobilizing to promote global normative standards of insolvency and bankruptcy law.⁹⁷ Halliday and Carruthers observe a global convergence on institutional design for bankruptcy and insolvency systems,⁹⁸ with jurisdictions adopting some local variations.⁹⁹

A series of financial crises beginning in the late 1990’s, including both the recent global financial crisis and the current Covid-related economic crisis, have underscored for scholars and global policymakers an additional important function of bankruptcy and insolvency law as a tool for preventing and managing financial crisis and for restoring financial stability.¹⁰⁰ These crises have been characterized by levels of both corporate and household over-indebtedness that threatened financial systemic stability and, in turn, the strength and functioning of the real economy.¹⁰¹ As waves of private debtors became unable to service their obligations, they imposed losses on banks, contributing to banking crises, which in turn caused or exacerbated economic recessions and sometimes required sovereign rescues. Those sovereign rescues precipitated some sovereign debt crises.¹⁰² Furthermore, widespread underlying

⁹⁵ Halliday & Carruthers, *supra*, at xv (“Bankruptcy law constitutes the hard budget constraints that distinguish capitalist from command economies.”).

⁹⁶ Halliday & Carruthers, *supra*, at xxii.

⁹⁷ Halliday & Carruthers, *supra*, at xv-xxii.

⁹⁸ Halliday & Carruthers, *supra*, at 33; Sean Hagan, *Debt Restructuring and Economic Recovery*, in ROSA M. LASTRA & LEE BUCHHEIT, *SOVEREIGN DEBT MANAGEMENT* 359, 360 (2014).

⁹⁹ Halliday & Carruthers, *supra*, at 35.

¹⁰⁰ Halliday & Carruthers, *supra*, at 3. “Although the repercussions of multinational collapses and the reconstruction of Eastern European economies brought bankruptcy law closer to center stage, it was the Asian Financial Crisis that finally made global actors realize that a concerted campaign was necessary to protect financial sectors, countries, and the world economy from financial shocks.” *See also* Hagan, *supra*, at 361 (“[T]he Asian crisis highlighted an important question: can a legal and institutional framework designed to address the failure of individual enterprises also assist in resolving crises of systemic proportions, in which a significant portion of the corporate sector is in distress?”).

¹⁰¹ Hagan, *supra*, 359.

¹⁰² Hagan, *supra*, 359.

private over-indebtedness limited the space available for monetary and fiscal policies to resolve the unfolding crises.¹⁰³

In a period of financial instability or vulnerability involving generalized over-indebtedness, bankruptcy and insolvency law can serve uniquely important functions. In that context, a primary goal of these systems is to help insulate or rescue the financial system, especially the banking system. That requires improving capital across the banking system, which in turn often requires realization and allocation of losses and unclogging the system of non-performing assets, often to allow for recapitalization.¹⁰⁴ Another goal is to avoid the disorderly collapse of systemically important firms¹⁰⁵ – often but not always large financial institutions – to avoid broad collateral effects or contagion. The three episodes described above represent precisely these types of uses of bankruptcy or insolvency law to address systemic vulnerabilities. And, as noted above, many of the current proposals to improve and employ the bankruptcy system to respond to Covid-related economic and financial distress would also be using the system for macro-prudential or systemic regulatory responses.

In sum, bankruptcy and insolvency law is a necessary component of a modern financial system and always serves various foundational macro-economic functions. In times of stress, such a regime can serve a crucial role in promoting or restoring systemic stability, either through its operation in the aggregate or with regard to systemically significant entities or both. Whether or not this is fully appreciated, the basic design of a bankruptcy or insolvency system inevitably represents policies aimed at serving these functions. Such regimes are thus properly understood as regulatory schemes. In most circumstances, an insolvency and bankruptcy regime serves macro-economic policy objectives through the actions and decisions of participants within the regime as a product or by-product of the technical design and operation of the system. Like tax law, for example, regulatory policies are embedded in the substance of a bankruptcy or insolvency regime and are usually deployed through the aggregate effects of individual cases and through the *ex ante* incentives that it creates for households, firms, governments, and financial institutions.

This regulatory or macro-economic function of bankruptcy law represents another dimension along which to evaluate the long-standing debates among bankruptcy scholars – i.e., which institutional designs best promote the macro-

¹⁰³ Hagan, *supra*, 359.

¹⁰⁴ Hagan, *supra*.

¹⁰⁵ See, e.g., Adam Levitin, *In Defense of Bailouts*, 99 GEO. L.J. 435, 485-86 (2011) (discussing the General Motors and Chrysler bankruptcies but arguing that “bankruptcy will not be used for the cases that truly present systemic risk.”).

economic and regulatory functions of the system.¹⁰⁶ It also provides an important context for understanding recurring episodic direct regulatory interventions in bankruptcy systems in the U.S. and elsewhere.

B. A Regulatory Tool

In some circumstances, policymakers may not be able to rely on private parties and officials within a bankruptcy or insolvency system to deploy the system for macro-prudential or regulatory purposes. This may be because, for some reason, none of these actors are inclined to utilize the system even though it would be in their interest to do so. It may also be because the regulatory concern of the moment may be in tension with the particular interests of these private actors.¹⁰⁷ To be clear, in the later circumstances, the desired macro-economic function of bankruptcy or insolvency law may require outcomes that are sub-optimal from a micro perspective.¹⁰⁸ This tension is an example of a more general distinction and noted tension between macro-prudential and micro-prudential policy, especially in the context of financial regulation.¹⁰⁹

In such circumstances, it may require an actor outside of the bankruptcy system to employ it in some fashion, either directly, or more often, by directing other parties to do so. As with the episodes described in Part I, this is most often done by some government regulator that has regulatory authority over actors who have access to, or who are or might be involved with, the bankruptcy or insolvency system.

When government actors directly intervene to influence the operation of the bankruptcy system, it is generally because the design of the system itself or the incentives of stakeholders or both are insufficient to achieve a desired regulatory result, often a result with macro-prudential significance. The policies and actions that government regulators pursue in such episodes may be

¹⁰⁶ Liskow's, *Counter-Cyclical Bankruptcy Law*, *supra*, is perhaps the clearest recent example of precisely this type of analysis, arguing for institutional design changes in bankruptcy law to promote counter-cyclical macro-economic outcomes.

¹⁰⁷ See Hagan, *supra*, at 360 (“[B]anks are often reluctant to engage in the debt restructuring process simply because the recognition of a loss on their balance sheets will have adverse capital implications. For this reason, vigilant supervision by bank regulators is a necessary feature of any debt restructuring strategy.”).

¹⁰⁸ [cites to come]

¹⁰⁹ Especially since the recent global financial crisis, policymakers and scholars have increasingly recognized the importance of macro-prudential policies that are designed primarily to promote systemic stability. These policies are distinguished from micro-prudential ones, which tend to be directed at promoting firm- or individual-level viability or stability. Protecting the viability of firms and individuals ultimately has systemic significance, so these are often complementary. But sometimes macro-prudential policies are designed to protect systemic stability at the cost of individual parties or stakeholders. In those cases, there is a deep tension in regulatory goals.

subject to criticism, but their involvement itself should not be controversial and reflects an underlying and pervasive aspect of any bankruptcy or insolvency system. To the extent that stakeholders in bankruptcy are subject to other regulatory regimes that are not expressly displaced by substantive bankruptcy law, those other regulatory regimes will constrain, guide, or even govern at least some of their behavior and decision-making with regard to bankruptcy. Sometimes the influence of another regulatory regime operates passively, again like tax law, which often determines parties' decisions in bankruptcy. But at other times, the intervention is more active. Banks creditors are heavily regulated entities subject to background regulatory guidelines and requirements that affect their decision-making both directly and indirectly but usually go unnoticed. This inevitably draws banking regulators into the heart of the bankruptcy system in pursuit of both micro- and macro-prudential policies.

From a bankruptcy policy perspective such regulatory involvement is justified, first, as generally analogous to, or part of, the broadest articulation of the principle in *Butner v. United States*¹¹⁰ that a bankruptcy system generally respects non-bankruptcy rights and obligations. It can also be justified as a product of ordering and coordination among overlapping regulatory regimes. As noted above, the various potential regulatory functions of a bankruptcy or insolvency system overlap with those of other regimes; in each domain that it impacts, it is one regulatory regime among others. Most commonly, these regimes are carefully designed to be complimentary, and so in most circumstances, regulators will prefer that their regulated entities will engage with the bankruptcy system according to their own private interests, consistent with conventional bankruptcy theory. But bankruptcy or insolvency law must sometimes be actively coordinated with other regulatory regimes, and the imperatives of other regimes will sometimes displace or determine the internal logic of bankruptcy law.

In fact, this tension between bankruptcy law and other areas of law and regulation is a familiar one. The U.S. Bankruptcy Code, for example, acknowledges this tension in various ways and, where it does, it tends to strike a balance that gives significant deference to non-bankruptcy government and regulatory actors.¹¹¹

C. Revisiting the Episodes

This view of the relationship between a bankruptcy or insolvency system and the broader framework of financial regulation provides a useful perspective on the episodes described above of regulatory influence on the behavior of parties in a bankruptcy or insolvency system. Consider, for example, the influence of banking regulators on bank creditors in bankruptcy cases in the

¹¹⁰ 440 U.S. 48 (1979).

¹¹¹ Most notable is the regulatory exception for the automatic stay, which is otherwise comprehensive. See 11 U.S.C. 362(b)(4).

period before and during the last global financial crisis described by Woo. From a bank regulatory perspective, the basic dynamic Woo describes is unremarkable and, potentially, critical to an effective performance of their regulatory responsibility. Having concern for the potential systemic vulnerability caused by the patterns of commercial real estate lending and of those assets in banks' portfolios, it was at least reasonable at the time for regulators to take actions to motivate banks to reduce their exposure to that sector.

The practical options for reducing that exposure included foreclosing on collateral securing some of those loans in the bankruptcies of their borrowers. It is entirely possible, as Woo argues, that in some cases, this was inefficient from a micro-economic perspective – i.e., it may have led to the liquidation of some firms that would have been more valuable if reorganized as going concerns. But the action was taken to preserve or reestablish systemic stability, the stakes of which were likely much higher than the efficiency loss in particular bankruptcy cases. Furthermore, in an environment of ongoing systemic financial instability, chances may have been lower that reorganizations would have been significantly more efficient in those cases.

This does not mean that the regulators actions and policies spurring dilution of banks' exposures to commercial real estate at that time were in fact wise. In fact, as noted above, the approach apparently contributed to the downward spiral of asset values of the underlying collateral and was thus quickly reversed. And observing the error of a particular regulatory policy or approach that influences parties' behavior in a bankruptcy system may give some reason to be skeptical of such regulatory interventions. But it does not, in itself, foreclose the deeper structural and theoretical rationale that justifies regulators' efforts to steer the bankruptcy behavior of the entities within their regulatory domain if there is a perceived regulatory concern, especially if the concern relates to systemic stability. Among other things, macro-prudential regulation often involves immediate discernable efficiency losses to mitigate or avoid much greater losses, which ideally do not occur and cannot, therefore, be measured.

Much the same can be said of the RBI's move to force Indian banks to initiate insolvency proceedings against borrowers with the nation's largest non-performing loans. Policymakers in India were acutely concerned about the level of non-performing assets in the country's banking system and the impact that had on basic functioning, strength, and stability of that system. One of the primary motivations of the adoption of the Insolvency and Bankruptcy Code of 2016 was to provide a mechanism for banks to remove those assets from the system, perhaps clearing the way for a subsequent recapitalization of the banking system, if necessary. But it was not at all obvious, once the law was in place, that it was in the narrow interest of any of the banks or the borrowers of those loans to actually utilize the new system. At least in the short-term, until the RBI's initial directive, the incentives and actions of private actors within the

system were not leading to one of the express primary macro-prudential goals and functions of the new system.

The RBI's directive further illustrates the distinction between the wisdom of a particular regulatory policy affecting a bankruptcy or insolvency system and the legitimacy of the underlying power to pursue such a policy. The particular move by the RBI to force the borrowers of the largest 12 non-performing assets in the Indian bankruptcy system into insolvency at the same time was subject to some criticism and controversy. But no observer questioned whether the RBI had, or should have, the basic power to direct a bank within its regulatory and supervisory domain to force an account into the insolvency and bankruptcy system to advance its general regulatory function.

As noted above, it remains unclear whether and how the U.S. Treasury directed some of Chrysler's secured creditors to consent to the Chrysler's proposed bankruptcy sale to New Chrysler. But it seems fair to assume that, at the least, the banks' actions were influenced by the clear preferences of the government officials. The U.S. Treasury's role was somewhat different than a formal regulatory agency with statutorily defined authorities and responsibilities, and it is not clear if those regulatory agencies had a similar influencing role in this particular episode. Yet the underlying logic remains the same. The U.S. Treasury was acting pursuant to its own ongoing authority and the specific authority of the Troubled Assets Relief Program, which was broadly construed as promoting financial market stability. There may have been – and may still be – uncertainty about whether the terms of the transaction was in the best interest of those creditors. Yet any influence by the U.S. Treasury or other banking regulators on the creditors to consent to those terms appears to have been done to further an authorized and important regulatory goal. Again, it is certainly possible to question the wisdom of the government's actions or policies without denying their authority to influence the behavior of regulated firms in the bankruptcy system as they regularly do outside of it.

Conclusion

In anticipation of a wave of bankruptcies caused by the economic and financial effects of the Covid-19 pandemic, numerous commentators have proposed policies or measures to expand the institutional capacity of the bankruptcy system to help address and resolve various aspects of the ongoing economic crisis. At least some of these policies and measures involve direct involvement of government or regulatory actors in the bankruptcy system or indirect involvement through regulated intermediaries. These proposals underscore the regulatory functions of bankruptcy law in general, and the deep connections between those functions and other regulatory systems, especially financial regulation. These connections and the influence of other regulators in the bankruptcy system are generally underappreciated in the literature on bankruptcy, and when they are observed, they are generally criticized.

This article argues that the background regulatory functions of bankruptcy should be understood as a fundamental part of the theoretical justification for a robust bankruptcy regime as part of the general financial regulatory architecture in a modern economy. It is an as yet undesignated axiom of bankruptcy law. Furthermore, this function of a bankruptcy or insolvency system provides the background context for more specific interventions of government or regulatory actors on a bankruptcy system pursuant to the regulatory goals and authority of those actors. These “interventions” should in fact be viewed as the product of overlapping regulatory functions, which require an account or logic of coordination. And in any such account, macro-prudential and systemic concerns will often override the efficiency concerns or stakes of a particular bankruptcy case.